



“They (Licious) spent a lot of time understanding Bengaluru, and that was a very smart thing to do since it became a playbook”

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“If one has an engaged team with the right leadership and operates independently, magic can happen. However, the perishability part means the retail rollout needs to be gradual”

DIPPANKAR HALDER
FOUNDER, JALONGI.COM

have a lot of data on our consumers like the number of Bengalis living in Koramangala,” he chips in with a smile. The six Licious stores that exist today are only an extension of the online business and serve as sampling channels. Value-added offerings like ready-to-cook and ready-to-eat products in the offline stores will give Licious an edge over the neighbourhood meat shops.

The good part is that the stores—also to be branded

Licious—can be housed in, say, a township or a prime commercial area. “We don’t need to be in a high street. In smaller centres, we can open stores first,” says Hanjura. The five processing plants and the existing supply chain will help Licious open offline stores faster.

While India is a predominantly meat eating country, there is still a long way to go in terms of meat consumption. In the US, per capita consumption of meat is 112 kg. “If you look at a nation’s per capita income, there will be a deep correlation with how much meat is consumed. For instance, in China, it was 4-5 kg in the 1960s and is 65 kg today,” Hanjura says. Speaking of India, it was 4 kg in 2000 and hit 8 kg when Licious started operations in 2015. “Today, it is at 12 kg, and there is no question that the number will take off.”

The economics of going offline is pretty similar to those of any other retail business. On a month-on-month basis, it will need to cover fixed costs that include power and salaries. For an outlet of approximately 700 sq. ft, it will need to spend around ₹3 lakh each month. Taking a gross margin of 30%, an outlet will need to make upwards of ₹9 lakh or ₹30,000 each day. Plus, one has to take the capex into consideration—freezers and chillers—that will cost ₹2,000 per sq. ft or ₹14 lakh for the said outlet. Of course, meeting costs each month is most critical to getting the business off the ground.

Post-pandemic, the lines between online and offline have clearly blurred, according to Dippankar Halder, Founder of Jalongi.com, an online seafood and meat platform. “Everyone does home delivery now, and that means value proposition will be king. It comes down to differentiation based on assortment, price and service experience,” he says. His company first took the online route before opening a few offline outlets only to get back to a completely online model since it requires deep pockets and a lot of time. “Running an offline chain is a very different ball game, be it on organisation, people, or processes. An independent non-vegetarian product store will have profitability challenges, especially if it is per-